UNIT IV – Legal Framework

23A52701a BUSINESS ETHICS & CORPORATE GOVERNANCE | JNTUA R23

B.Tech – Exam Notes

I. Law and Ethics

Law = body of rules made & enforced by the State, binding on all; breach → punishment. **Ethics** = moral principles of right/wrong that guide conduct; breach → guilt, disapproval.

Need for law in business

- Protects **consumers, investors, employees, environment** from exploitation
- Ethics is voluntary → some firms ignore it → law gives **force**
- Ensures **fair competition** & level playing field
- Gives certainty: contracts, property, dispute settlement
- Deterrence: penalty, jail, disqualification
- Builds public trust in markets → investment & growth

Law vs Ethics

Basis	Law	Ethics
Source	Legislature, courts	Conscience, culture, religion
Nature	Written, codified, definite	Unwritten, flexible, subjective
Sanction	Fine, jail, penalty	Guilt, social/moral censure
Enforced by	Courts, regulators	Self, society, peers
Scope	Minimum standard of conduct	Higher standard – beyond law
Varies with	Country / time (amended)	Person, culture, situation
Focus	Actions (what you did)	Intentions + actions

	LEGAL	ILLEGAL
ETHICAL	**Legal + Ethical** Pay taxes honestly, safe products, CSR	**Ethical but Illegal** Whistle-blowing breaching contract; civil disobedience
UNETHICAL	**Legal but Unethical** Tax avoidance loopholes, pushing junk food to kids	**Illegal + Unethical** Insider trading, bribery, Satyam accounts fraud

Fig 1: Law–Ethics overlap matrix (4 cases)

★ Important

- Law = **minimum**; ethics = **maximum** ("law is the floor, ethics the ceiling")
- Legal ≠ always ethical; ethical ≠ always legal

2. Agencies Enforcing Ethical Business Behaviour

Agency	Role in ethical conduct
SEBI (1988; statutory 1992)	Regulates securities market; insider trading, fraud, disclosures
RBI (1935)	Banks/NBFCs, monetary policy, KYC, fair practices, forex (FEMA)
CCI (2003/09)	Competition Act – cartels, abuse of dominance, combinations
MCA / ROC	Administers Companies Act; registration, filings, inspection
NCLT / NCLAT (2016)	Company disputes, oppression, mismanagement, insolvency; appeal
SFIO (2003; S.211)	Investigates complex corporate frauds (multi-disciplinary)
ED	Enforces FEMA & PMLA – money laundering, forex violation
CBI / CVC	CBI: corruption & economic crime probe; CVC: vigilance in public sector
Consumer Commissions, CCPA	District/State/National redressal; CCPA (2020) – unfair trade, ads, recalls
ICAI / NFRA	ICAI: audit ethics, discipline; NFRA (S.132): audit quality oversight
CPCB / SPCBs, NGT	Pollution norms, consent to operate; NGT – green court (2010)
Stock Exchanges (BSE/NSE)	Listing compliance, surveillance, penalise non-disclosure
Lokpal / Lokayuktas (2013 Act)	Inquire corruption by public servants (incl. NGOs/firms linked)
ASCI (1985) – self-regulatory	Code for ethical advertising; handles misleading-ad complaints

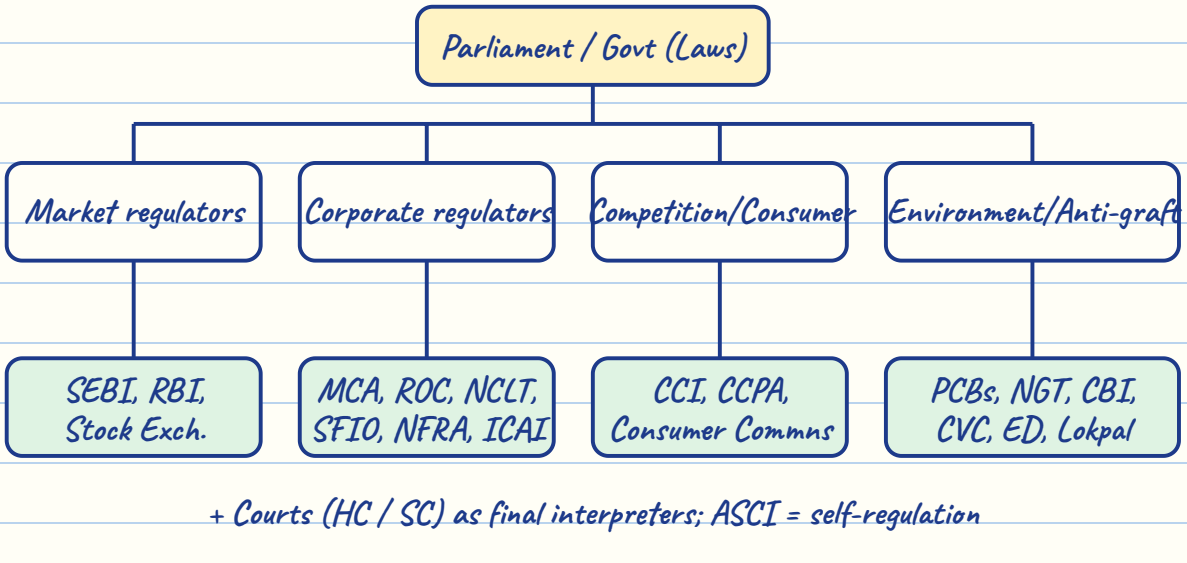


Fig 2: Legal & regulatory ecosystem in India

3. Legal Impact of Unethical Behaviour

- **Penalties & fines** – e.g. cartel: up to 3× profit or 10% turnover (Competition Act)
- **Imprisonment** – fraud S.447 Cos Act: 6 months – 10 yrs; insider trading; PMLA
- **Disqualification** of directors (S.164), debarment by SEBI, licence cancellation
- **Compensation / damages** – consumer cases, class-action suits (S.245)
- **Product recall, ban**, attachment of assets, winding up
- **Reputation damage** → share price crash, loss of customers, investors, talent
- **Cost of litigation** + management time; loss of credit rating

Case – Satyam (2009): chairman B. Ramalinga Raju confessed to inflating cash/profits ≈ ₹7,000 cr → arrest, jail, SEBI ban & penalty, auditor PwC penalised, firm sold to Tech Mahindra. **Enron (2001, USA)** → Arthur Andersen collapsed → SOX 2002.

4. Environmental Protection Laws

Why? Industry pollutes air, water, soil; Constitution: **Art 21** (right to clean environment), **Art 48A** (State), **Art 51A(g)** (citizen duty).

Law	Key purpose
Environment (Protection) Act, 1986	Umbrella Act (post-Bhopal); central govt powers, standards, EIA, hazardous substances; penalty / jail
Water Act, 1974	Prevent water pollution; CPCB/SPCB; consent to establish/operate
Air Act, 1981	Prevent, control air pollution; emission standards; air-pollution control areas
Wildlife Protection Act, 1972	Protect species, sanctuaries, national parks; ban trade
Forest Conservation Act, 1980	Prior central approval to divert forest land for non-forest use
NGT Act, 2010	Fast-track environmental disputes; "polluter pays", relief & compensation
Hazardous Waste Rules (under EPA)	Safe handling, storage, transport, disposal; authorisation required

Key principles & tools

- **Polluter Pays** – polluter bears cost of damage & restoration (Indian Council for Enviro-Legal Action v UOI; Vellore Citizens 1996)

- **Precautionary principle** – lack of scientific certainty is no excuse to delay prevention
- **Absolute liability** – M.C. Mehta v UOI (Oleum gas leak, 1986) – hazardous industry fully liable
- **Sustainable development** – meet present needs without harming future
- **EIA** (Environmental Impact Assessment) – mandatory study before big projects
- **EPR** (Extended Producer Responsibility) – producer responsible for plastic / e-waste / battery end-of-life
- **ISO 14001** – international standard for Environmental Management System (EMS)



then: Consent to Establish → Consent to Operate (SPCB) → monitoring

Fig 3: Environmental clearance process (EIA)

Corporate responsibility

- Install ETP/STP, cut emissions, **3R** (Reduce-Reuse-Recycle), green audit
- Obtain consents, file returns, disclose in **BRSR** (SEBI) & CSR spend
- Penalty: fine + jail (EPA: up to 5 yrs), closure notice, NGT compensation

Bhopal (2–3 Dec 1984): Union Carbide pesticide plant leaked **MIC** gas → thousands died; weak safety, cost-cutting. Led to **EPA 1986**, Public Liability Insurance Act 1991; settlement US$470 m (1989).
Vizag (7 May 2020): **LG Polymers** styrene gas leak, 12 deaths; NGT ordered ₹50 cr deposit; plant lacked environmental clearance & safety restart protocols.

5. Fair Trade Practices

(a) Competition Act, 2002

- Replaced **MRTP Act 1969** (focused on curbing monopoly size; repealed 2009) → new focus on **promoting competition**
- Regulator: **CCI** (Competition Commission of India); appeals → NCLAT

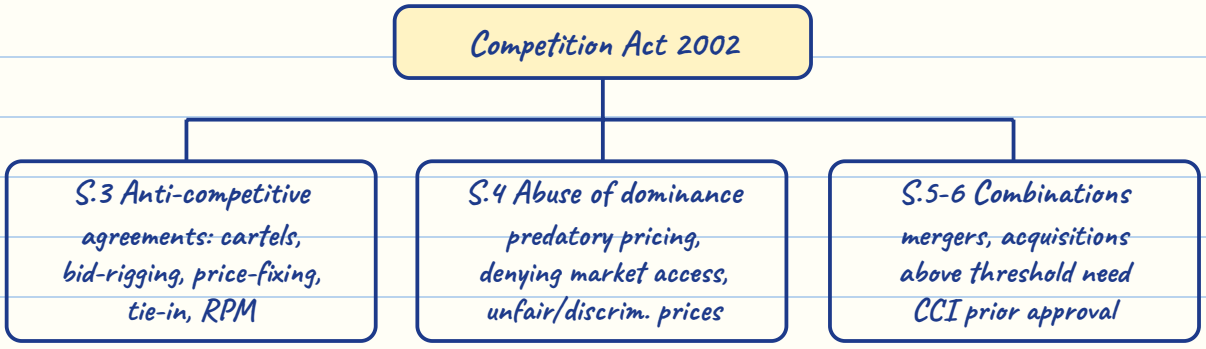


Fig 4: Three pillars of the Competition Act

- Penalty: up to **10% of avg turnover** (last 3 yrs); cartels: up to 3× profit or 10% turnover; leniency plus for whistle-blowing cartel members
- Eg: CCI vs cement cartel; CCI penalised Google (Android, 2022) & Amazon/Flipkart probes

(b) Unfair Trade Practices (UTP)

Practice	Meaning / example
Misleading ads	False claims on quality, results – "100% cure", fake endorsements
False sales claims	Fake "70% off", inflated MRP, false "limited stock"
Bait & switch	Advertise cheap product, then push costlier one
Hoarding	Stocking goods to create shortage / raise price (Essential Commodities Act 1955)
Black marketing	Selling above MRP / in secret, e.g. medicines, tickets
Adulteration, spurious goods	Mixing/fake brand, short weight & measures
Dark patterns (e-com)	Fake urgency, hidden charges, drip pricing

(c) Consumer Protection Act, 2019 (replaced 1986 Act)

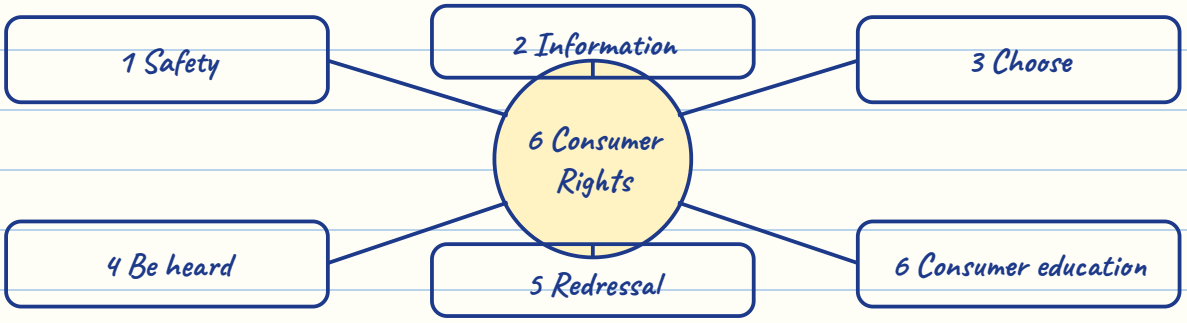


Fig 5: Six consumer rights (CPA 2019, S.2(9))

- **CCPA** (Central Consumer Protection Authority, July 2020): class action, recall unsafe goods, penalty on misleading ads – up to ₹10 lakh (repeat ₹50 lakh); endorser ban 1 yr (repeat 3 yrs)
- **Three-tier commissions**: District, State, National (NCDRC) – by value of claim; **mediation** cells added

- **Product liability** (Ch. VI): manufacturer, seller, service provider liable for defect/deficiency → compensation
- **E-Commerce Rules 2020**: display seller details, country of origin, no unfair price manipulation, grievance officer, return/refund terms
- Covers e-commerce, teleshopping, direct selling; "unfair contract" & **celebrity endorser** liability

(d) Other fair-trade laws

Law	Purpose
Sale of Goods Act, 1930	Contract of sale; implied conditions & warranties (title, quality, fitness)
Legal Metrology Act, 2009	Correct weights/measures; packaged-goods labelling (MRP, net qty)
BIS Act 2016 / ISI, Hallmark	Standards, certification, quality marking
Right to Information Act, 2005	Citizens access public-authority info → transparency, accountability
Essential Commodities Act 1955	Control supply/price of essentials; anti-hoarding

6. Legal Compliances

Compliance = adhering to all laws, rules, regulations & internal policies applicable to business. Non-compliance → penalty, prosecution, loss of goodwill.

- **Registration**: Companies Act/LLP Act (ROC), PAN/TAN, GST, Shops & Establishment, MSME (Udyam)
- **Annual filings**: AOC-4 (financials), MGT-7 (annual return), board meetings, AGM, auditor appointment, DIR-3 KYC
- **Tax**: Income Tax (advance tax, TDS, ITR), **GST** (GSTR-1, 3B, annual) – on time
- **Labour**: 4 **Labour Codes** (Wages, Industrial Relations, Social Security, OSH); **PF** (EPF Act) & **ESI** contributions
- **POSH Act 2013**: Internal Committee (≥10 employees), annual report, awareness
- **Data protection**: **DPDP Act 2023** – consent, purpose limitation, Data Fiduciary duties, breach notice, Data Protection Board; penalty up to ₹250 cr
- **Sector**: SEBI LODR, FSSAI, pollution consents, trade licences, IP

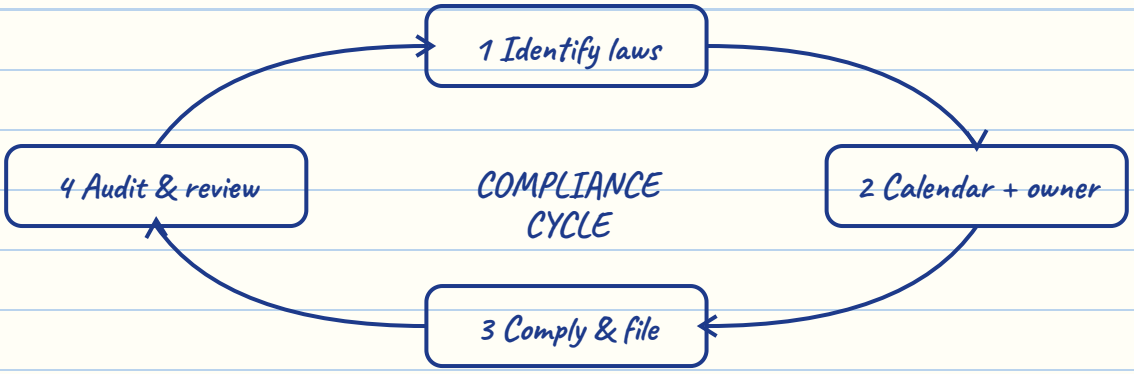


Fig 6: Compliance management cycle

- **Compliance calendar** – list of due dates + responsible person + penalty for delay
- **Compliance audit** – internal/secretarial audit (S.204: MR-3 for listed cos) checks adherence, gaps, remedial action
- **Checklist tip**: Register → Tax → Labour → Environment → Data → Disclosure → Audit

7. Safeguarding Health & Well-being of Customers

Law / body	Protection offered
Food Safety & Standards Act 2006 – FSSAI	Single food law; licence/registration; standards, labelling, recall; adulteration penalties
Drugs & Cosmetics Act 1940	Control import, manufacture, sale of drugs; CDSCO; ban spurious/sub-standard
Consumer Protection Act	Right to safety, product liability, recall via CCPA
BIS (ISI, Hallmark)	Mandatory quality marks for electricals, toys, helmets, cement
COTPA 2003	Tobacco: ban public smoking, ads; pictorial warnings; no sale to minors / near schools
Legal Metrology, Warranty	Honest quantity; warranty/guarantee honoured; **recall** of defective goods

- **Ethical advertising**: truthful, no exploitation of children, no false health claims – ASCI code, CPA 2019, Drugs & Magic Remedies Act 1954
- Duty: safe design, testing, clear labels (ingredients, expiry, allergens), after-sales support
- Examples: car airbag/defect recalls; ban on harmful food colours; Johnson & Johnson Tylenol recall (1982) – global ethics model

Maggi case (2015): FSSAI found excess **lead** & undeclared **MSG** in Nestlé Maggi noodles → nationwide ban, ~38,000 tonnes destroyed; govt filed ₹640 cr claim at NCDRC; Bombay HC (Aug 2015) set aside ban citing natural-justice lapses & lab issues; Maggi returned after re-testing. Lesson: **quality control, transparency, crisis response**.

8. Corporate Law – Companies Act, 2013

Replaced Companies Act 1956; administered by **MCA**; 29 chapters, ~470 sections. Aim: transparency, accountability, investor & stakeholder protection.

Types of companies

- By liability: limited by shares / by guarantee / unlimited
- By members: **Private** (2–200), **Public** (min 7), **One Person Co. (OPC)**
- Others: Section 8 (non-profit), Govt co., Foreign co., Holding/Subsidiary, Listed

Key features

Provision	Detail
Board	Min 3 directors (public), 2 (private), 1 (OPC); max 15 (more by special resolution); ≥1 **woman** director for specified cos; resident director (182 days)
S.166 Duties of directors	Act in good faith, due care/skill, **independent judgment**, avoid conflict of interest, no undue gain; breach → fine ≥₹1 lakh
S.149 Independent directors	≥ 1/3 of board for listed cos; code of conduct (Sch IV); no pecuniary tie
S.177 Audit committee	Min 3 directors, majority independent; reviews financials, auditors, RPTs, internal control
S.177(9) Vigil mechanism	Whistle-blower channel for listed/prescribed cos; protects against victimisation
S.135 CSR	Net worth ≥₹500 cr / turnover ≥₹1000 cr / profit ≥₹5 cr → CSR committee, spend **2%** of avg net profit (3 yrs); Sch VII activities
S.188 Related-party txns	Board / shareholder approval, arm's-length; disclosure
S.447 Fraud	Jail 6 months – 10 yrs; fine 1–3× amount involved
S.245 Class action	Members/depositors sue for oppressive acts (first of its kind in India)
Others	NFRA (S.132), SFIO (S.211), auditor rotation (S.139), NCLT (S.408), e-filing, secretarial audit

LLP Act, 2008

- **LLP** = hybrid: separate legal entity + **limited liability** of partners + partnership flexibility
- Min 2 partners, 2 designated partners; no max; no minimum capital; lighter compliance; reg. with ROC

9. Securities & Financial Regulations

Law	Year	Purpose / key point
Securities Contracts (Regulation) Act	1956	Regulates stock exchanges, listing, contracts in securities
SEBI Act	1992	Protect investors, develop & regulate market; SEBI powers (quasi-legislative, judicial, executive); appeal → SAT
Depositories Act	1996	Demat – paperless holding (NSDL, CDSL)
SEBI (LODR) Regs	2015	Listing obligations; replaced Clause 49; board composition, disclosures, committees
SEBI (PIT) Regs	2015	Prohibit insider trading; UPSI, trading window, code of conduct
SEBI Takeover Code (SAST)	2011	Open offer on 25% acquisition – protects minority
FEMA	1999	Replaced FERA 1973; manages forex – civil, not criminal; RBI/ED
Banking Regulation Act	1949	Licensing, supervision of banks; RBI powers
PMLA	2002	Prevent money laundering; attach proceeds of crime; ED, reporting entities (FIU-IND)
IBC	2016	Time-bound insolvency resolution (CIRP 330 days); NCLT, IBBI, creditors' committee
Prevention of Corruption Act	1988	Bribery of public servants; 2018 amendment: giving bribe & corporate liability offence

Global

- **Sarbanes-Oxley Act 2002 (SOX, USA)** after Enron/WorldCom: CEO/CFO certify accounts (S.302), internal controls (S.404), PCAOB, whistle-blower protection, jail for fraud
- **Dodd-Frank Act 2010 (USA)** after 2008 crisis: Consumer Financial Protection Bureau, Volcker rule, say-on-pay, whistle-blower rewards

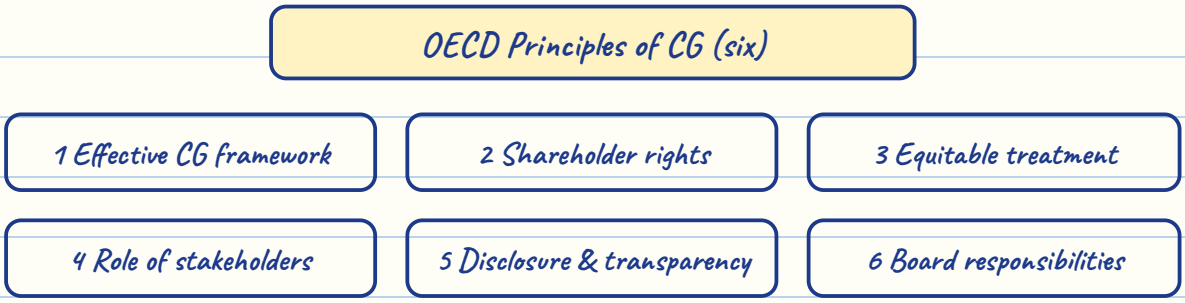
10. Corporate Governance Codes & Principles

Corporate governance (CG) = system by which companies are directed & controlled; balances interests of shareholders, management, board & stakeholders.

Four core principles (mnemonic: FTAR)

- **Fairness** – equal treatment of all shareholders incl. minority
- **Transparency** – timely, accurate disclosure
- **Accountability** – board answerable to shareholders
- **Responsibility** – towards law, society, environment, stakeholders

OECD Principles (1999; revised 2004; G20/OECD 2015)



(2015 version: adds institutional investors & markets; merges 2+3)
Non-binding, global benchmark for law & code makers

Fig 7: OECD six principles

Codes – timeline

Code / committee	Year	Highlights
Cadbury (UK)	1992	Board, audit cttee, separate chair & CEO; "comply or explain"
CII Code (India)	1998	First voluntary code of corporate governance
Kumar Mangalam Birla Cttee → **Clause 49**	1999/2000	SEBI: board composition, audit cttee, disclosures
Naresh Chandra / Narayana Murthy	2002 / 2003	Audit, auditor independence, whistle-blower, Clause 49 revised
Companies Act 2013 → **LODR 2015**	2013/15	Statutory CG; independent dirs, RPT, vigil, CSR
Uday Kotak Cttee	2017	Board effectiveness; separate chair/MD; more independence
UK Corporate Governance Code (FRC)	2010, 2018, 2024	Principles-based: leadership, purpose, remuneration, "comply or explain"

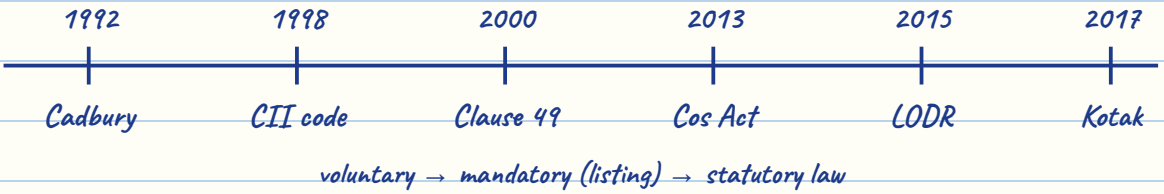


Fig 8: Evolution of CG codes (UK → India)

11. Law → Purpose → Year (one-glance table)

Law	Purpose	Year
Wildlife Protection Act	Species & habitat	1972
Water Act / Air Act	Pollution control	1974 / 1981
Forest Conservation Act	Stop forest diversion	1980
Environment (Protection) Act	Umbrella env. law	1986
Sale of Goods Act	Sale contracts	1930
Drugs & Cosmetics Act	Drug quality	1940
SCRA / SEBI Act	Securities market	1956 / 1992
Prevention of Corruption Act	Anti-bribery	1988
FSS Act (FSSAI)	Food safety	2006
Competition Act	Fair competition	2002
PMLA / FEMA	Laundering / forex	2002 / 1999
RTI Act	Transparency	2005
Companies Act	Company law	2013
POSH Act	Workplace harassment	2013
IBC	Insolvency	2016
Consumer Protection Act	Consumer rights	2019
DPDP Act	Personal data	2023
NGT Act / LLP Act	Green court / LLP	2010 / 2008

12. Quick Revision & Likely Exam Questions

★ Important

- Law = minimum, enforced by State; Ethics = higher, voluntary
- Polluter pays + Precautionary = core env. principles; Bhopal → EPA 1986
- Competition Act 2002: S.3 agreements, S.4 dominance, S.5–6 combinations
- CPA 2019: 6 rights, CCPA, product liability, e-commerce rules
- Co Act 2013: S.135 CSR, S.149 ID, S.166 duties, S.177 audit/vigil, S.188 RPT, S.447 fraud, S.245 class action
- OECD: 6 principles; CG: Clause 49 (2000) → LODR 2015; SOX 2002

2-mark questions

1. Define business ethics vs law.
2. What is polluter pays principle?
3. List six consumer rights.
4. What is a cartel / abuse of dominance?
5. Full form: CCPA, NFRA, SFIO, EPR, DPDP.
6. What is a vigil mechanism (S.177)?
7. Name any four OECD principles.
8. What is bait-and-switch?

5-mark questions

1. Differentiate law and ethics with examples.
2. Role of SEBI and CCI in ethical business.
3. Explain unfair trade practices under consumer law.
4. Directors' duties under S.166.
5. Discuss the Maggi case and lessons.
6. Explain compliance calendar and audit.
7. Features of LLP; SOX Act 2002.

10-mark questions

1. Explain agencies enforcing ethical business behaviour in India with roles.
2. Discuss environmental protection laws; role of Bhopal & Vizag cases.
3. Explain Competition Act 2002 & Consumer Protection Act 2019 as fair-trade tools.
4. Key features of Companies Act 2013 for ethics & governance.
5. Discuss securities & financial regulations; CG codes & OECD principles.

Mnemonic – CG principles: F-T-A-R (Fairness, Transparency, Accountability, Responsibility). **Consumer rights:** "S-I-C-H-R-E" = Safety, Info, Choice, Heard, Redressal, Education.